



DEFENSE LOGISTICS AGENCY
ENERGY
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J&A Tracking Number: 25-0036

Justification for Other than Full and Open Competition
Japan Transportation Rail Services
Solicitation SPE602-25-R-0708

1. Summary/Introduction:

The Defense Logistics Agency (DLA) Energy is the contracting activity for petroleum products and services for the Department of Defense (DoD). This Justification and Approval (J&A), covers Request for Proposal (RFP) SPE602-25-R-0708, a requirement to transport [REDACTED]

[REDACTED]
[REDACTED] services will be used to transport bulk petroleum products between [REDACTED] on an other than full and open competition basis. The contract will be Firm-Fixed Price (FFP) and will be five (5) years; one (1) one-year base period plus four (4) one-year option periods with an estimated value of \$6,059,975.80. The contract period of performance is as follows:

[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]

2. Nature and/or description of the action being approved (FAR 6.303-2(b)(2)):

This requirement ensures continuous delivery of bulk fuel to [REDACTED]. [REDACTED] is the primary mode to transport fuel [REDACTED]

[REDACTED] to [REDACTED] This J&A request is for the authorization of other than full and open competition, to award a base plus four (4) option period contract to one (1) source; Japan Freight Rail Company (JFRC). JFRC is one of seven constituent companies of Japan Railways Group (JR Group) and provides transportation of cargo nationwide throughout Japan. Defense Working Capital Funds will be used for this effort.

3. Description of supplies or services required to meet the agency's need (including estimated value) (FAR 6.303-2(b)(3)):

These commercial services were previously procured under an agreement [REDACTED]

[REDACTED] Subsequently, a bridge contract, FA520925C0002, was awarded by the U.S Air Force (USAF) 374th Contracting Squadron, on a sole-source basis to JFRC with a one-year period of performance, from [REDACTED] DLA Energy is the designated contracting office and will issue the follow-on contract. The Government shall award the estimated sole-source requirements

as expressed in the table below:

CLIN	DESCRIPTION	QUANTITY	UNIT OF ISSUE	UNIT PRICE	TOTAL ESTIMATED VALUE
FFP Services– Base Period:					
0001		134	EA		
0002		134	EA		
0003		134	EA		
0004		134	EA		
FFP Services– Option Year 1:					
0005		134	EA		
0006		134	EA		
0007		134	EA		
0008		134	EA		
FFP Services– Option Year 2:					
0009		134	EA		
0010		134	EA		
0011		134	EA		
0012		134	EA		
FFP Services– Option Year 3:					
0013		134	EA		
0014		134	EA		
0015		134	EA		
0016		134	EA		
FFP Services– Option Year 4:					
0017		134	EA		
0018		134	EA		
0019		134	EA		
0020		134	EA		
TOTAL ESTIMATED VALUE:					\$6,059,975.80

*The anticipated cost to the Government for this contract is \$6,059,975.80, which represents the sole source quantity multiplied by the anticipated unit price.

4. Identification of the statutory authority permitting other than full and open competition (FAR 6.303-2(b)(4)):

This J&A is based upon the authority of 10 U.S.C. §3204(a)(1), as implemented by Federal Acquisition Regulation 6.302-1. The services required by the agency are only available from one responsible source and no other type of services will satisfy agency requirements.

5. Demonstration that the proposed contractor's unique qualifications or the nature of the acquisition requires use of the authority cited (FAR 6.303-2(b)(5)):

JFRC possesses proprietary rights to the [REDACTED] the services will be performed on and is therefore the sole authorized transportation provider. The Ministry of Land, Infrastructure and Transport (MLIT) regulations outline all [REDACTED] in Japan. MLIT issues an updated list of registered [REDACTED] on an annual basis, and as of April 1, 2025, JFRC remains the sole operator for [REDACTED] (to [REDACTED] [REDACTED]) within their prefecture, [REDACTED] [REDACTED] and [REDACTED] [REDACTED]. Additional Japanese [REDACTED] companies are present; however, their capabilities are regionally restricted and reserved for non-commercial [REDACTED] only. Thus, excluding other [REDACTED] companies from meeting the requirements. JFRC is the only authorized source that can deliver sufficient quantities of [REDACTED] consistently and reliably to [REDACTED]; no other source has the capabilities to offer transportation services in support of this requirement, due to JFRC's proprietary restrictions.

6. Description of the efforts made to ensure that offers are/were solicited from as many potential sources as is/was practicable, including whether a notice was or will be publicized as required by Subpart 5.2 and, if not, which exception under 5.202 applies (FAR 6.303-2(b)(6)):

Information was exchanged and obtained according to FAR parts 15.201(c)(3) and conducted the release of an RFI in accordance with FAR 15.201(e); DLA Energy posted a Sources Sought Notice (SSN), as required by FAR 5.201(b)(1)(i), on June 30, 2025, on the System for Award Management (SAM) requesting information concerning the availability of all capable contractors that provide [REDACTED] to transport bulk petroleum product [REDACTED] in Japan. DLA Energy encouraged all interested companies to submit responses concerning capabilities. The response due date was July 8th, 2025, by 3:00 PM EST. SAM.gov does not provide data regarding the number of contractors eligible to receive the SSN or the contractors that viewed the SSN, so it is not possible to determine the number of contractors reached by the posting. However, there were no restrictions on the posting and all contractors were able to review and respond regardless of business size classification. The SSN was posted under NAICS code: 488210. [REDACTED] submitted a response to the SSN. However, when further inquired about their capabilities, [REDACTED] failed to provide a response, and as a result, was found incapable of fulfilling the requirements.

7. Determination by the contracting officer that the anticipated cost to the Government will be fair and reasonable (FAR 6.303-2(b)(7)):

The Contracting Officer has determined that the cost to the Government will be fair and reasonable based on a comparison of historical prices paid, for the same or similar items, in accordance with FAR 15.404-1(b)(2)(ii). The anticipated cost to the Government for the contract is \$6,059,975.80, which represents the sole source quantity multiplied by the anticipated unit price. The Contracting Officer will utilize the previous agreement and the current bridge contract as a comparison of historical prices paid.

8. Description of the market research conducted and the results or a statement of the reason market research was not conducted (FAR 6.303-2(b)(8)):

The techniques for this market research were conducted in accordance with FAR 10.002(b)(2)(i), and FAR 10.002(b)(2)(ix). DLA Energy was informed by the 374th Contracting Squadron that the current bridge contract, FA520925C0002, is sole sourced to JFRC. The 374th Contracting Squadron conducted the following market research:

June 18, 2024: [REDACTED]

July 25, 2024, through August 9, 2024: A SSN was posted to SAM.gov with a draft Performance Work Statement (PWS). [REDACTED] was received from a [REDACTED]. [REDACTED] did not respond when asked about their ability to perform the services. The 374th Squadron Contracting Officer determined the respondent to be incapable of performing the services. Additional market research was conducted; however no capable sources were identified.

DLA Energy conducted the following market research:

February 27, 2025: A search was conducted in SAM to determine capable sources located within the Japan region that perform services associated to NAICS codes [REDACTED] and [REDACTED].

April 2, 2025: [REDACTED]

June 30, 2025, through July 8, 2025: A SSN was posted to SAM.gov, [REDACTED]. [REDACTED] expressed an interest in writing but did not provide a capability statement on whether they can perform the services outlined in the SSN. [REDACTED] failed to respond to DLA Energy's request for additional information.

9. Any other facts supporting the use of other than full and open competition, such as (FAR 6.303-2(b)(9)):

a. Explanation of why technical data packages, specifications, engineering descriptions, statements of work, or purchase descriptions suitable for full and open competition have not been developed or are not available.

Not applicable.

b. When 6.302-1 is cited for follow-on acquisitions as described in 6.302-1(a)(2)(ii), an estimate of the cost to the Government that would be duplicated and how the estimate was derived.

Not applicable.

c. When 6.302-2 is cited, estimated cost, or other rationale as to the extent and nature of the harm to the Government.

Not applicable.

10. A listing of the sources, if any, that expressed, in writing, an interest in the acquisition

(FAR 6.303-2(b)(10):

[REDACTED] expressed an interest in writing, however failed to provide a capability statement.

11. Actions that may be taken to remove or overcome barriers to competition before any subsequent acquisition for the supplies or services are required (FAR 6.303-2(b)(11)):

The service requirement is regionally restricted to operate between [REDACTED]
Japan. [REDACTED] DLA Energy
is presently unable to overcome the barriers to competition [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]

I hereby certify that the data which forms the basis for this justification is accurate and complete to the best of my knowledge and belief.



I hereby certify that the data which forms the basis for this justification is accurate and complete and that the purchase request covers only the minimum requirements to satisfy the needs of the Government.



I have reviewed and concur with this Justification



Approved:

